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ACCURATE BACKGROUND, LLC

UNITED STATES DISTRICT COURT

CENTRAL DISTRICT OF CALIFORNIA

STEPHEN VARELA, Plaintiff, v. ACCURATE BACKGROUND, INC., Defendant.	Case No. 5:26-cv-00258-KK-DTB Hon. Kenly Kiya Kato **DEFENDANT'S ANSWER AND AFFIRMATIVE AND OTHER DEFENSES TO PLAINTIFF'S COMPLAINT**

Defendant ACCURATE BACKGROUND, LLC (incorrectly named "Accurate Background, Inc."), by its attorneys and pursuant to Rules 8 and 12 of the Federal Rules of Civil Procedure, answers Plaintiff's Complaint and asserts its affirmative and other defenses as follows:

PRELIMINARY STATEMENT

COMPLAINT ¶1:

Plaintiff brings this action under 15 U.S.C. § 1681 *et seq.* the Fair Credit Reporting Act ("FCRA") and Cal. Civ. Code § 1785 *et seq.* the Consumer Credit Reporting Agencies Act ("CCRAA") for actual and statutory damages, punitive damages, costs, and reasonable attorneys' fees against Defendant.

ANSWER:

Accurate admits that Plaintiff purports to bring this action under the Fair Credit Reporting Act, 15 U.S.C. § 1681 *et seq.* ("FCRA") and California's Consumer Credit Reporting Agencies Act, Cal. Civ. Code § 1785.14 *et seq.* ("CCRAA") to recover alleged damages and obtain other relief. Accurate denies that it violated the FCRA, denies it violated the CCRAA, denies that it violated any other law, and further denies that Plaintiff is entitled to any relief whatsoever. Accurate denies the remaining allegations in Paragraph No. 1 of the Complaint.

JURISDICTION AND VENUE

COMPLAINT ¶2:

This Court has jurisdiction over Plaintiff's claims pursuant to 28 U.S.C. § 1331, 1334, and 15 U.S.C. § 1681(p), which allows claims under the FCRA to be brought in any appropriate court of competent jurisdiction. This Court also has supplemental jurisdiction over state claims under 28 U. S.C. § 1367 because those claims arose from the same transaction or occurrence as the federal claims.

ANSWER:

Accurate admits that this Court has subject matter jurisdiction over Plaintiff's FCRA claims pursuant to 28 U.S.C. § 1331 and 15 U.S.C. § 1681p. Accurate further admits that this Court may exercise supplemental jurisdiction over Plaintiff's CCRAA claims pursuant to 28 U.S.C. § 1367. Accurate denies the remaining allegations in Paragraph No. 2 of the Complaint.

COMPLAINT ¶3:

Venue is proper in this judicial district pursuant to 28 U.S.C. § 1391b(1), 28 U.S.C. § 1391b(2), and 28 U.S.C. § 1391b(3) being that the Plaintiff resides in this district, a substantial part of the events giving rise to the claims occurred within this district, and Defendant regularly conducts business in this District.

ANSWER:

Accurate admits that venue is proper in this judicial district. Accurate denies the remaining allegations in Paragraph No. 3 of the Complaint.

PARTIES AND SERVICE

Plaintiff Stephen Varela.

COMPLAINT ¶4:

Plaintiff is a resident of Riverside County, California.

ANSWER:

Accurate lacks knowledge or information sufficient to form a belief as to Plaintiff's current residence.

COMPLAINT ¶5:

At all times material hereto, Plaintiff is a "Consumer," as defined under 15 U.S.C. §1681a(c), and Cal. Civ. Code § 1785.3(b).

ANSWER:

Accurate admits the allegations in Paragraph No. 5 of the Complaint.

Defendant ACCURATE BACKGROUND, INC

COMPLAINT ¶6:

Defendant Accurate is a "Consumer Reporting Agency" as defined by the FCRA 15 U.S.C. § 1681a(f). Defendant Accurate conducts substantial and regular business activities in this district. Defendant Accurate may be served with process upon DAVID C

DICKERSON, its registered agent for service of process, at 7515 IRVINE CTR DR. IRVINE, CA 92618.

ANSWER:

Accurate admits that it provides certain services as a "consumer reporting agency" as that term is defined by 15 U.S.C. § 1681a(f), and as to those activities only. Accurate also admits that it was served in this action. Accurate denies the remaining allegations in Paragraph No. 6 of the Complaint.

COMPLAINT ¶7:

At all times material hereto, Defendant Accurate is a Consumer Reporting Agency who regularly engages in interstate commerce by and through the business of assembling, evaluating, and disbursing information concerning consumers for the purposes of furnishing consumer reports to third parties as said term is defined under the FCRA 15 U.S.C. § 1681d and Cal. Civ. Code § 1785.3(c).

ANSWER:

Accurate admits that it provides certain services as a "consumer reporting agency" as that term is defined by 15 U.S.C. § 1681a(f), and as to those activities only. Accurate denies the remaining allegations in Paragraph No. 7 of the Complaint.

COMPLAINT ¶8:

Among other things, Defendant Accurate sells consumer background checks to employers. These reports are provided in connection with a business transaction initiated by the hiring company.

ANSWER:

Accurate admits that, on request, it prepares background reports to employers and that employers may use such background reports when making employment decisions. Accurate denies the remaining allegations in Paragraph No. 8 of the Complaint.

FACTUAL ALLEGATIONS

COMPLAINT ¶9:

Defendant Accurate Background, Inc ("Accurate") is a consumer reporting agency that provides background checks to employers, including Jeronimo Logistics ("Jeronimo"). Accurate prepared a background check report on Plaintiff, Stephen Varela, for the purpose of assessing his suitability for employment with Jeronimo.

ANSWER:

Accurate admits that it provides certain services as a "consumer reporting agency" as that term is defined by 15 U.S.C. § 1681a(f), and as to those activities only. Accurate also admits that, on request, it prepares background reports to employers and that employers may use such background reports when making employment decisions. Accurate further admits that it prepared a background report on Plaintiff at the request of

Jeronimo Logistics LLC – DSP ("Jeronimo"). Accurate denies the remaining allegations in Paragraph No. 9 of the Complaint.

COMPLAINT ¶10:

Plaintiff applied for a position at Jeronimo Logistics company in September 2025.

ANSWER:

Upon information and belief, Accurate admits the allegations in Paragraph No. 10 of the Complaint.

COMPLAINT ¶11:

On or about September 4, 2025, Accurate issued a background check report on Plaintiff, which was later provided to Jeronimo. The report contained inaccuracies, including a criminal conviction that was over seven years old.

ANSWER:

Accurate admits that, on September 26, 2025, it completed a background report on Plaintiff at the request of Jeronimo. With respect to the second sentence of Paragraph No. 11 of the Complaint, Accurate states that the referenced report is the best evidence of its contents and denies the allegations in Paragraph No. 11 of the Complaint that are inconsistent with the contents of the referenced report. Accurate denies the remaining allegations in Paragraph No. 11 of the Complaint.

COMPLAINT ¶12:

Specifically, the report listed a felony for which Plaintiff was released from prison in 2017, which is older than seven years. This is prohibited from being reported under California law, which restricts the reporting of criminal convictions older than seven years for jobs that pay less than $125,000 per year (California Civil Code Section 1786.18). Plaintiff's background check was for a position with Jeronimo, which does not meet this salary threshold.

ANSWER:

With respect to the first sentence of Paragraph No. 12 of the Complaint, Accurate states that the referenced report is the best evidence of its contents and denies the allegations in Paragraph No. 12 of the Complaint that are inconsistent with the contents of the referenced report. Accurate states that the remaining allegations in Paragraph No. 12 of the Complaint consist entirely of legal conclusions to which no answer is required. To the extent an answer is required, Accurate denies the remaining allegations in Paragraph No. 12 of the Complaint.

COMPLAINT ¶13:

Plaintiff was not hired by Jeronimo because of the incorrect background check report.

ANSWER:

Accurate denies the allegations in Paragraph No. 13 of the Complaint.

COMPLAINT ¶14:

As a result of this refusal to hire him, Plaintiff remained unemployed for three months before finally finding another position that matched his skills and career goals.

ANSWER:

Accurate lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph No. 14 of the Complaint.

COMPLAINT ¶15:

This denial caused emotional distress, reputational harm, and financial damages. Plaintiff has been forced to seek other employment opportunities, but he has encountered challenges due to the erroneous information reported on his background check. The emotional toll from this situation, combined with the lost income, has caused Plaintiff significant distress.

ANSWER:

Accurate lacks knowledge or information sufficient to form a belief as to the truth of the allegations in Paragraph No. 15 of the Complaint.

FIRST CAUSE OF ACTION

15 U.S.C. § 1681e(b)

COMPLAINT ¶16:

Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

ANSWER:

Accurate restates its answers to Paragraph Nos. 1 through 15 as its answer to Paragraph No. 16 of the Complaint.

COMPLAINT ¶17:

This is an action for negligent violation of the FCRA 15 U.S.C. § 1681 *et. seq.*

ANSWER:

Accurate admits that Plaintiff purports to bring an action for an alleged negligent violation of the FCRA. Accurate denies that it violated the FCRA or any other law, and further denies that Plaintiff is entitled to any relief whatsoever.

COMPLAINT ¶18:

Defendant Accurate violated 15 U.S.C. § 1681e(b) by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of the consume background check report that Defendant Accurate maintained concerning Plaintiff.

ANSWER:

Accurate denies the allegations in Paragraph No. 18 of the Complaint.

COMPLAINT ¶19:

Defendant Accurate has negligently failed to comply with the FCRA. The failure of Accurate to comply with the FCRA includes but is not necessarily limited to the following:

a) The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b) The failure to delete information promptly that was found to be inaccurate, or could not be verified, or that the source of information had advised Accurate to delete; and

c) The failure to take adequate steps to verify information that Accurate had reason to believe was inaccurate before including it in the background check report of the Plaintiff.

ANSWER:

Accurate denies the allegations in Paragraph No. 19 of the Complaint.

COMPLAINT ¶20:

As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff suffered damage to his reputation, undue stress exerted trying to fix the erroneous Report, mental and emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

ANSWER:

Accurate denies the allegations in Paragraph No. 20 of the Complaint.

COMPLAINT ¶21:

The conduct, action, and inaction of Defendant Accurate was negligent, entitling Plaintiff to damages under 15 U.S.C. § 1681(o).

ANSWER:

Accurate denies the allegations in Paragraph No. 21 of the Complaint.

COMPLAINT ¶22:

Plaintiff is entitled to recover reasonable costs and attorney's fees from Accurate in an amount to be determined by the Court pursuant to 15 U.S.C. § 1681(o).

ANSWER:

Accurate denies the allegations in Paragraph No. 22 of the Complaint..

SECOND CAUSE OF ACTION

15 U.S.C. § 1681e(b)

COMPLAINT ¶23:

Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

ANSWER:

Accurate restates its answers to Paragraph Nos. 1 through 22 as its answer to Paragraph No. 23 of the Complaint.

COMPLAINT ¶24:

This is an action for willful violation of the FCRA 15 U. S.C. § 1681 *et. seq.*

ANSWER:

Accurate admits that Plaintiff purports to bring an action for an alleged willful violation of the FCRA. Accurate denies that it violated the FCRA or any other law, and further denies that Plaintiff is entitled to any relief whatsoever.

COMPLAINT ¶25:

Defendant Accurate violated 15 U.S.C. § 1681e(b) by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of the consume background check report that Defendant Accurate maintained concerning Plaintiff.

ANSWER:

Accurate denies the allegations in Paragraph No. 25 of the Complaint.

COMPLAINT ¶26:

Defendant Accurate has willfully failed to comply with the FCRA. The failures of Accurate to comply with the FCRA include but are not necessarily limited to the following:

a) The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b) The failure to delete information promptly that was found to be inaccurate, or could not be verified, or that the source of the information had advised Accurate to delete; and

c) The failure to take adequate steps to verify information that Accurate had reason to believe was inaccurate before including it in the background check report of the consumer.

ANSWER:

Accurate denies the allegations in Paragraph No. 26 of the Complaint.

COMPLAINT ¶27:

As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff suffered damage to his reputation, undue stress exerted trying to fix the erroneous Report, mental and emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

ANSWER:

Accurate denies the allegations in Paragraph No. 27 of the Complaint.

COMPLAINT ¶28:

The conduct, action, and inaction of Defendant Accurate was willful, entitling Plaintiff to damages under 15 U.S.C. § 1681(n).

ANSWER:

Accurate denies the allegations in Paragraph No. 28 of the Complaint.

COMPLAINT ¶29:

Plaintiff is entitled to recover reasonable costs and attorney's fees in an amount to be determined by the Court pursuant to 15 U.S.C. § 1681(n).

ANSWER:

Accurate denies the allegations in Paragraph No. 29 of the Complaint.

THIRD CAUSE OF ACTION

Cal. Civ. Code § 1785.14

COMPLAINT ¶30:

Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

ANSWER:

Accurate restates its answers to Paragraphs No. 1 through 29 as its answer to Paragraph No. 30 of the Complaint.

COMPLAINT ¶31:

This is an action for negligent violation of the CCRAA Cal. Civ. Code § 1785 *et. seq.*

ANSWER:

Accurate admits that Plaintiff purports to bring this action for an alleged negligent violation of the CCRAA. Accurate denies that it violated the CCRAA or any other law, and further denies that Plaintiff is entitled to any relief whatsoever.

COMPLAINT ¶32:

Defendant Accurate violated Cal. Civ. Code § 1785.14 by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of

the consume background check report that Defendant Accurate maintained concerning Plaintiff.

ANSWER:

Accurate denies the allegations in Paragraph No. 32 of the Complaint.

COMPLAINT ¶33:

Defendant Accurate has negligently failed to comply with the CCRAA. The failure of Accurate to comply with the CCRAA includes but is not necessarily limited to the following:

a. The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b. The failure to delete information promptly that was found to be inaccurate, or could not be verified, or that the source of information had advised Accurate to delete; and

c. The failure to take adequate steps to verify information Accurate had reason to believe was inaccurate before including it in the credit report of the consumer.

ANSWER:

Accurate denies the allegations in Paragraph No. 33 of the Complaint

COMPLAINT ¶34:

As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff suffered damage to his reputation, undue stress exerted trying to fix the erroneous Report, mental an emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

ANSWER:

Accurate denies the allegations in Paragraph No. 34 of the Complaint

COMPLAINT ¶35:

The conduct, action, and inaction of Defendant Accurate was negligent, entitling Plaintiff to damages under Cal. Civ. Code § 1785.31(a)(1).

ANSWER:

Accurate denies the allegations in Paragraph No. 35 of the Complaint

COMPLAINT ¶36:

Plaintiff is entitled to recover reasonable costs and attorney's fees from Accurate in an amount to be determined by the Court pursuant to Cal. Civ. Code § 1785.31(a)(1).

ANSWER:

Accurate denies the allegations in Paragraph No. 36 of the Complaint

FOURTH CAUSE OF ACTION

Cal. Civ. Code § 1785.14

COMPLAINT ¶37:

Plaintiff incorporates by reference all the above paragraphs of this Complaint as though fully stated herein with the same force and effect as if the same were set forth at length herein.

ANSWER:

Accurate restates its answers to Paragraphs No. 1 through 36 as its answer to Paragraph No. 37 of the Complaint.

COMPLAINT ¶38:

This is an action for willful violation of the CCRAA Cal. Civ. Code § 1785 *et. seq.*

ANSWER:

Accurate admits that Plaintiff purports to bring an action for an alleged willful violation of the CCRAA. Accurate denies that it violated the CCRAA or any other law, and further denies that Plaintiff is entitled to any relief whatsoever.

COMPLAINT ¶39:

Defendant Accurate violated Cal. Civ. Code § 1785.14 by failing to establish or follow reasonable procedures to assure maximum possible accuracy in the preparation of the consume background check report that Defendant Accurate maintained concerning Plaintiff.

ANSWER:

Accurate denies the allegations in Paragraph No. 39 of the Complaint.

COMPLAINT ¶40:

Defendant Accurate has willfully failed to comply with the CCRAA. The failures of Accurate to comply with the CCRAA include but are not necessarily limited to the following:

a. The failure to follow reasonable procedures to assure the maximum possible accuracy of the information reported;

b. The failure to delete information promptly that was found to be inaccurate, or could not be verified, or that the source of information had advised Accurate to delete; and

c. The failure to take adequate steps to verify information Accurate had reason to believe was inaccurate before including it in the credit report of the consumer.

ANSWER:

Accurate denies the allegations in Paragraph No. 40 of the Complaint

COMPLAINT ¶41:

As a result of the conduct, action, and inaction of Defendant Accurate, Plaintiff sufferer damage to his reputation, undue stress exerted trying to fix the erroneous Report,

mental an emotional pain, anguish, humiliation, and embarrassment of a false and erroneous background check report.

ANSWER:

Accurate denies the allegations in Paragraph No. 41 of the Complaint

COMPLAINT ¶42:

The conduct, action, and inaction of Defendant Accurate was willful, entitling Plaintiff to damages under Cal. Civ. Code § 1785.31(a)(2).

ANSWER:

Accurate denies the allegations in Paragraph No. 42 of the Complaint.

COMPLAINT ¶43:

Plaintiff is entitled to recover reasonable costs and attorney's fees from Accurate in an amount to be determined by the Court pursuant to Cal. Civ. Code § 1785.31(a)(2).

ANSWER:

Accurate denies the allegations in Paragraph No. 43 of the Complaint.

DEMAND FOR TRIAL BY JURY

COMPLAINT ¶44:

Plaintiff requests a trial by jury on all issues and counts so triable, pursuant to Rule 38 of the Federal Rules of Civil Procedure.

ANSWER:

Accurate admits that Plaintiff demands a trial by jury on all issues so triable.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff seeks judgment against Defendant as follows:

1. Awarding Plaintiff actual damages provided and pursuant to 15 U.S.C. § 1681o(a), and Cal. Civ. Code § 1785.31(a) from Defendant;

2. Awarding Plaintiff statutory damages provided and pursuant to 15 U.S.C. § 1681n(a), and Cal. Civ. Code § 1785.31(a) from Defendant;

3. Awarding Plaintiff punitive damages provided and pursuant to 15 U.S.C. §1681n(a)(2) and Cal. Civ. Code § 1785.31(a)(2)(B) from Defendant;

4. Awarding Plaintiff attorneys' fees provided and pursuant to 15 U.S.C. § 1681n(a)(3), 15 U.S.C.§ 1681o(a)(2), Cal. Civ. Code § 1785.31(a)(1), and Cal. Civ. Code § 1785.31(a)(2); and

5. Awarding Plaintiff such other and further relief as this Court may deem just and proper.

ANSWER:

Plaintiff's allegations constitute a prayer for relief requiring neither an admission nor a denial by Accurate. To the extent an answer is required, Accurate denies that Plaintiff is entitled to any relief whatsoever.

AFFIRMATIVE AND OTHER DEFENSES

FIRST DEFENSE

Plaintiff is not entitled to punitive damages because Accurate engaged in good faith efforts to comply with the FCRA and the CCRAA, Accurate's reading of its obligations under the FCRA and the CCRAA is and was objectively reasonable, and any purported violations were not willful.

SECOND DEFENSE

To the extent Plaintiff has failed to mitigate his alleged damages, any recovery should be reduced or eliminated accordingly.

Respectfully submitted,

SEYFARTH SHAW LLP

By: */s/ Jasmine Jane Stanzick*
Jasmine Jane Stanzick

Attorneys for Defendant
ACCURATE BACKGROUND, LLC

Date: March 30, 2026

CERTIFICATE OF SERVICE

I hereby certify that, on March 30, 2026, I electronically filed the foregoing with the Clerk of the Court using the ECF system, which will send notice of such filing to all counsel of record.

/s/ Jasmine Jane Stanzick